

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

(Mark One)



ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2024

OR



TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from to

Commission file number 001-40289

Coinbase Global, Inc.

(Exact name of registrant as specified in its charter)

Delaware	One Madison Avenue Suite 2400 New York, NY	10010	46-4707224
(State or other jurisdiction of incorporation or organization)	(Address of principal executive offices) ¹	(Zip Code)	(I.R.S. Employer Identification No.)

Not Applicable

(Registrant's telephone number, including area code)¹

Not Applicable

(Former name, former address and former fiscal year, if changed since last report)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Class A common stock, \$0.00001 par value per share	COIN	The Nasdaq Stock Market LLC

Securities registered pursuant to Section 12(g) of the Act: **None**

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act. Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or 15(d) of the Act. Yes ☐ No ☒

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company" and "emerging growth company" in Rule 12b-2 of the Exchange Act. Large accelerated filer ☒ Non-accelerated filer ☐ Accelerated filer ☐ Smaller reporting company ☐ Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant has filed a report on and attestation to its management's assessment of the effectiveness of its internal control over financial reporting under Section 404(b) of the Sarbanes-Oxley Act (15 U.S.C. 7262(b)) by the registered public accounting firm that prepared or issued its audit report. ☒

If securities are registered pursuant to Section 12(b) of the Act, indicate by check mark whether the financial statements of the registrant included in the filing reflect the correction of an error to previously issued financial statements. ☐

Indicate by check mark whether any of those error corrections are restatements that required a recovery analysis of incentive-based compensation received by any of the registrant's executive officers during the relevant recovery period pursuant to §240.10D-1(b). ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

The aggregate market value of the voting and non-voting stock held by non-affiliates of the registrant on June 30, 2024, the last business day of the registrant's most recently completed second fiscal quarter, was \$44.6 billion based on the closing sales price of the registrant's Class A common stock as reported on Nasdaq Global Select Market on that date.

As of February 6, 2025, the number of shares of the registrant's Class A common stock outstanding was 210,155,374 and the number of shares of the registrant's Class B common stock outstanding was 43,724,093.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the registrant's definitive proxy statement for its 2025 Annual Meeting of Stockholders, or Proxy Statement, to be filed within 120 days after the end of the fiscal year covered by this Annual Report on Form 10-K, are incorporated by reference in Part III. Except with respect to information specifically incorporated by reference in this Annual Report, the Proxy Statement shall not be deemed to be filed as part hereof.

¹ We are a remote-first company. Accordingly, we do not maintain a headquarters. We are including this address solely for the purpose of satisfying the Securities and Exchange Commission's request. Stockholder communications may also be sent to the email address: secretary@coinbase.com.

Executive Overview

This executive overview of Management's Discussion and Analysis of Financial Condition and Results of Operations highlights selected information and does not contain all of the information that is important to readers of this Annual Report on Form 10-K.

During 2024, we made progress against our goals of driving revenue growth, crypto utility, and regulatory clarity. We advanced the crypto economy by deepening institutional adoption, scaling international growth, and expanding real-world utility. Our investments in core products like derivatives and Coinbase One, as well as our focus on global expansion drove revenue growth, while innovations such as USDC rewards showcased the power of onchain finance.

For the year ended December 31, 2024, our net revenue was \$6.3 billion, including \$4.0 billion in transaction revenue and \$2.3 billion in subscription and services revenue. For the year ended December 31, 2023, our net revenue was \$2.9 billion, including \$1.5 billion in transaction revenue and \$1.4 billion in subscription and services revenue.

For the year ended December 31, 2024, our net income was \$2.6 billion and Adjusted EBITDA was \$3.3 billion. For the year ended December 31, 2023, our net income was \$0.1 billion and Adjusted EBITDA was \$1.0 billion.

For 2025, we believe that we are well-positioned to drive revenue growth across all macroeconomic environments, and we remain committed to advancing regulatory clarity. Despite multiple Federal Funds Rate decreases in late 2024, future interest rate decreases are not certain. If they continue, they may materially impact our subscription and services and other revenue. We plan to dynamically adjust our expense base in order to be responsive to market conditions and revenue opportunities, increasing or decreasing it as needed, especially with respect to certain variable expenses. In the first quarter of 2025, we expect technology and development and general and administrative expenses to grow modestly as compared to the fourth quarter of 2024, primarily due to headcount growth and variable infrastructure and customer support expenses. Additionally, we expect sales and marketing expenses to grow, as compared to the fourth quarter of 2024, primarily due to expected higher USDC rewards expense and variable non-brand marketing spend.

Key Business Metrics

In addition to the measures presented in our Consolidated Financial Statements, we use the key business metrics listed below to evaluate our business, measure our performance, identify trends affecting our business, and make strategic decisions:

	Year Ended December 31,		
	2024	2023	%
MTUs ⁽¹⁾ (in millions)	8.4	7.4	14
Assets on Platform ⁽²⁾ (in billions)	\$ 404	\$ 191	112
Trading Volume (in billions)	\$ 1,162	\$ 468	148
Net income (in millions)	\$ 2,579	\$ 95	nm
Adjusted EBITDA ⁽³⁾ (in millions)	\$ 3,348	\$ 978	242

nm - not meaningful

- (1) Represents the annual average MTUs, calculated as the average of quarterly MTUs, which are derived from the average of each month's MTUs in each respective quarter. Quarterly MTUs for the fourth quarter of 2024 and 2023, were 9.7 million and 7.0 million, respectively.
- (2) Represents Assets on Platform at December 31.
- (3) In the first quarter of 2024, we revised our definition of Adjusted EBITDA and recast the prior period for comparability. See the section titled "Non-GAAP Financial Measure" below for a reconciliation of net income to Adjusted EBITDA and an explanation for why we consider Adjusted EBITDA to be a helpful metric for investors.

Monthly Transacting Users

We define a Monthly Transacting User (“MTU”) as a consumer who actively or passively transacts in one or more products on our platform at least once during the rolling 28-day period ending on the date of measurement. MTUs engage in transactions that generate both transaction revenue and subscription and services revenue. Revenue-generating transactions include active transactions, such as buying or selling crypto assets or passive transactions such as earning staking rewards and USDC rewards. MTUs also engage in transactions that are non-revenue generating, such as consumers sending and receiving crypto assets between wallets and off-platform accounts on a non-expedited basis. MTUs may overstate the number of unique consumers due to differences in product architecture or user behavior.

MTUs increased for the year ended December 31, 2024 as compared to 2023, primarily due to a 1.3 million increase in trading users, influenced by overall crypto market sentiment and activity and higher average crypto asset prices. Additionally, we saw growth in users participating in our USDC rewards programs, offset in part by a decrease in staking only users as a result of updates we made to our staking service.

Assets on Platform

As a result of our decision to adopt SAB 122 as of December 31, 2024 on a retrospective basis, we will include an Assets on Platform (“AOP”) key business metric going forward to expand upon the details of the assets we are obligated to securely store.

We define AOP as the total United States (“U.S.”) dollar equivalent value of USDC and crypto assets held or managed on behalf of customers in digital wallets on our platform, including our custody services but excluding assets for which the customer holds full or partial keys, calculated based on the market price on the date of measurement. Prior to SAB 122 adoption, SAB 121 safeguarding amounts included assets for which customers held full or partial keys. As customers are in control of those assets, we exclude them from our definition of AOP. AOP demonstrates the scale of balances held across our suite of products and services, the trust customers place in us to securely store their assets, and the underlying growth of the cryptoeconomy. AOP also represents our monetization opportunity for subscription products and services, including from the adoption and use of USDC, staking, custody, Prime Financing, and Coinbase One. AOP generate fees that are recorded as subscription and services revenue when customers engage with these products and services.

For additional information on the adoption of SAB 122, see *Note 2. Summary of Significant Accounting Policies—Change in accounting principle*, of the Notes to our Consolidated Financial Statements included in Part II, Item 8 of this Annual Report on Form 10-K.

The following table sets forth the value of AOP by asset (in thousands, except percentages):

	December 31,		Change
	2024	2023	%
Bitcoin.....	\$ 235,377,653	\$ 89,864,637	162%
Ethereum.....	54,209,118	39,762,180	36%
Solana.....	21,297,761	12,906,278	65%
Other crypto assets ⁽¹⁾	87,058,643	46,303,676	88%
USDC.....	6,091,015	2,367,276	157%
Total.....	<u>\$ 404,034,190</u>	<u>\$ 191,204,047</u>	111%

(1) Includes various other crypto asset balances, none of which individually represented more than 5% of total AOP.

AOP at December 31, 2024 increased as compared to December 31, 2023, primarily due to an increase in crypto asset prices, driven by broader crypto market sentiment and activity. Additionally, the growth in USDC balances is primarily attributable to the USDC rewards program, combined with deeper integration of USDC across our products.

Trading Volume

We define Trading Volume as the total U.S. dollar equivalent value of spot matched trades transacted between a buyer and seller through our platform during the period of measurement. Trading Volume does not include derivatives volume on our platform or trades executed on third-party venues. Trading Volume represents the product of the quantity of assets transacted and the trade price at the time the transaction was executed. As trading activity directly impacts transaction revenue, we believe this measure is a reflection of liquidity on our order books, trading health, and the underlying growth of the cryptoeconomy. Institutional customers incur lower fees per transaction than consumer customers and, as a result, the impact of changes in consumer Trading Volume on transaction revenue is more pronounced than the impact of changes in institutional Trading Volume.

Generally, Trading Volume on our platform is primarily influenced by overall market dynamics, namely the price of crypto assets, crypto asset volatility, and macroeconomic conditions, and by our share of total crypto market spot trading volume. In periods of high crypto asset prices and crypto asset volatility, we have experienced correspondingly high levels of Trading Volume on our platform.

	Year Ended December 31,		Change
	2024	2023	%
Trading Volume (in billions)			
Consumer	\$ 221	\$ 75	195
Institutional	941	393	139
Total Trading Volume	<u>\$ 1,162</u>	<u>\$ 468</u>	148
Trading Volume by crypto asset			
Bitcoin	32%	34%	(6)
Ethereum	12	20	(40)
USDT ⁽¹⁾	13	11	18
Other crypto assets ⁽²⁾	43	35	23
Total	<u>100%</u>	<u>100%</u>	

(1) USDT is a stablecoin issued by Tether Operations Limited.

(2) No crypto assets other than those shown in this table individually represented more than 10% of our Trading Volume.

For the year ended December 31, 2024 as compared to 2023, Trading Volume increased reflecting an increase in both the total market and our market share in the U.S., where our business is concentrated:

- *Total market* — Crypto Asset Volatility¹ increased 37% and average total crypto market capitalization increased 103%. These two macro inputs have historically been highly correlated with Trading Volume and are typically influenced by overall crypto market sentiment, activity in the crypto market, and changes in average crypto asset prices; and
- *Market share* — Trading Volume growth outpaced the 105% growth in overall U.S. spot market trading volume, as we were able to capture a larger portion of the trading activity due to our competitive position and product strategy.

¹ Crypto Asset Volatility represents our internal measure of crypto asset volatility in the market relative to prior periods. The volatility is based on intraday returns of a volume-weighted basket of all assets listed on our trading platform. These returns are used to compute the basket's intraday volatility which is then scaled to a daily window. These daily volatility values are then averaged over the applicable time period as needed.

Results of Operations

The following table presents the Consolidated Statements of Operations (in thousands), as well as each component as a percentage of total revenue:

	Year Ended December 31,			
	2024		2023	
	\$	% ⁽¹⁾	\$	% ⁽¹⁾
Revenue:				
Net revenue	\$ 6,293,246	96	\$ 2,926,540	94
Other revenue	270,782	4	181,843	6
Total revenue	6,564,028	100	3,108,383	100
Operating expenses:				
Transaction expense	897,707	14	420,705	14
Technology and development	1,468,252	22	1,324,541	43
Sales and marketing	654,444	10	332,312	11
General and administrative	1,300,257	20	1,074,308	35
Gains on crypto assets held for operations, net	(71,725)	(1)	—	—
Crypto asset impairment, net	—	—	(34,675)	(1)
Restructuring	—	—	142,594	5
Other operating expense, net	7,933	—	10,260	—
Total operating expenses	4,256,868	65	3,270,045	105
Operating income (loss)	2,307,160	35	(161,662)	(5)
Interest expense	80,645	1	82,766	3
Gains on crypto assets held for investment, net	(687,055)	(10)	—	—
Other income, net	(29,074)	—	(167,583)	(5)
Income (loss) before income taxes	2,942,644	45	(76,845)	(2)
Provision for (benefit from) income taxes	363,578	6	(171,716)	(6)
Net income	\$ 2,579,066	39	\$ 94,871	3

(1) Figures presented above may not sum precisely due to rounding.

For information on what is included in each of the line items in our Consolidated Statements of Operations, including the associated business drivers and accounting, please see Part I, Item 1. *Business* and Note 2. *Summary of Significant Accounting Policies* of the Notes to our Consolidated Financial Statements in Part II, Item 8. of this Annual Report on Form 10-K, and management's discussion of the results of operations below.

Comparison of the years ended December 31, 2024 and 2023

Revenue

For the years ended December 31, 2024 and 2023 we generated 83% and 88%, respectively, of total revenue in the U.S. No other country accounted for more than 10% of total revenue during the years presented. International revenue comprised mainly transaction revenue in both years presented.

Transaction revenue

(in thousands, except %)	Year Ended December 31,		Change	
	2024	2023	\$	%
Consumer, net ⁽¹⁾	\$3,430,322	\$1,334,018	\$ 2,096,304	157
Institutional, net	345,598	90,164	255,434	283
Other transaction revenue, net ⁽¹⁾	210,193	95,472	114,721	120
Total transaction revenue	<u>\$3,986,113</u>	<u>\$1,519,654</u>	<u>\$ 2,466,459</u>	162

(1) Prior period amounts were reclassified to conform to current period presentation. See *Note 3. Revenue* of the Notes to our Consolidated Financial Statements included in Part II, Item 8 of this Annual Report on Form 10-K for additional details.

Transaction revenue increased for the year ended December 31, 2024 as compared to 2023, due to:

- an increase in consumer transaction revenue of \$2.6 billion due to a 195% increase in consumer Trading Volume. This increase was offset in part by a decrease of \$482.5 million attributed to a lower average blended fee rate, primarily due to changes in the mix of Trading Volume from Simple to Advanced trading;
- an increase in institutional transaction revenue of \$139.1 million primarily due to a 139% increase in institutional Trading Volume, as well as growth in revenue from derivatives trading on our international exchange, which was launched in the second quarter of 2023; and
- an increase in other transaction revenue of \$77.8 million from transactions on Base, which was launched in the third quarter of 2023, as well as higher revenue from instant transfer withdrawals.

The percentage of transaction revenue from trading on our platform broken down by crypto asset was as follows:

	Year Ended December 31,		Change
	2024	2023	%
Bitcoin	30%	35%	(14)
Ethereum	13	17	(24)
Other crypto assets ⁽¹⁾	57	48	19
Total	<u>100%</u>	<u>100%</u>	

(1) No other crypto asset individually represented more than 10% of the total.

Subscription and services revenue

(in thousands, except %)	Year Ended December 31,		Change	
	2024	2023	\$	%
Stablecoin revenue	\$ 910,464	\$ 694,247	\$ 216,217	31
Blockchain rewards	705,757	330,885	374,872	113
Interest and finance fee income ⁽¹⁾	265,799	186,685	79,114	42
Custodial fee revenue	141,706	69,501	72,205	104
Other subscription and services revenue ⁽¹⁾	283,407	125,568	157,839	126
Total subscription and services revenue	<u>\$2,307,133</u>	<u>\$1,406,886</u>	<u>\$ 900,247</u>	64

(1) Prior period amounts were reclassified to conform to current period presentation. See *Note 3. Revenue* of the Notes to our Consolidated Financial Statements included in Part II, Item 8 of this Annual Report on Form 10-K for additional details.

Subscription and services revenue increased for the year ended December 31, 2024 as compared to 2023, due to:

- an increase in stablecoin revenue of \$138.3 million primarily due to higher average customer USDC assets on platform and corporate balances, and \$104.7 million attributable to an increase in overall USDC market capitalization, partially offset by increased expenses that are deducted prior to allocation of income from the arrangement with Circle;
- an increase of \$350.5 million in blockchain rewards primarily due to higher average prices for Solana and Ethereum, as well as higher native units staked driving growth in both U.S. and international revenue, partially offset by a \$62.3 million decrease attributable to changes in reward rates, primarily for Ethereum and Solana;
- an increase in interest and finance fee income primarily reflecting growth of \$43.8 million in finance fees driven by higher average volumes of Prime Financing loan receivables, and growth of \$25.0 million in interest income attributable to higher average customer custodial cash and cash equivalents balances;
- an increase in custodial fee revenue reflecting growth in average crypto assets and USDC under custody of \$81.5 billion primarily driven by higher crypto asset prices, mainly Bitcoin, Solana, and Ethereum; and
- an increase in other subscription and services revenue primarily due to growth of \$87.9 million in Coinbase One revenue, as the number of paid subscribers grew driven by positive market conditions and improvements to our product offerings, and an increase in revenue from expanding supported assets on our developer products.

Other revenue

<i>(in thousands, except %)</i>	Year Ended December 31,		Change	
	2024	2023	\$	%
Corporate interest and other income	\$ 270,782	\$ 181,843	\$ 88,939	49
Total other revenue	<u>\$ 270,782</u>	<u>\$ 181,843</u>	<u>\$ 88,939</u>	49

Other revenue increased for the year ended December 31, 2024 as compared to 2023, primarily due to higher average cash and cash equivalents balances.

Operating expenses

Certain prior period amounts have been reclassified to conform to current period presentation.

Transaction expense

<i>(in thousands, except %)</i>	Year Ended December 31,		Change	
	2024	2023	\$	%
Blockchain rewards fees	\$ 455,946	\$ 229,851	\$ 226,095	98
Payment processing and account verification	150,897	76,795	74,102	96
Transaction rebates and commissions	122,372	6,876	115,496	nm
Transaction reversal losses	79,639	51,501	28,138	55
Blockchain transaction fees	80,926	55,467	25,459	46
Other	7,927	215	7,712	nm
Total transaction expense	<u>\$ 897,707</u>	<u>\$ 420,705</u>	<u>\$ 477,002</u>	113

nm - not meaningful

Transaction expense increased for the year ended December 31, 2024 as compared to 2023, due to:

- higher blockchain rewards fees, which rose generally in line with blockchain rewards revenue;
- an increase in payment processing fees of \$56.4 million, reflecting Trading Volume growth of 148%, offset in part by savings from reduced fees at higher volumes; and
- higher transaction rebates and commissions, driven primarily by rebates earned by institutional customers providing liquidity on our international exchange, driven by growth in volume.

There were no material changes to note within transaction reversal losses, blockchain transaction fees, or other.

Transaction expense as a percentage of total revenue will vary depending on the composition of the Company's total revenue, as certain revenue streams incur little or no transaction costs while others have associated expenses. For example, if interest income and stablecoin revenue increase as a percentage of total revenue, transaction expenses as a percentage of total revenue will decrease as there are no transaction expenses directly attributed to these revenues. Conversely, if blockchain rewards increase as a percentage of total revenue, transaction expenses as a percentage of total revenue will increase since the majority of blockchain rewards revenue is distributed to the customer. There was no change in overall transaction expense as a percentage of total revenue when comparing the periods presented.

Technology and development

(in thousands, except %)	Year Ended December 31,		Change	
	2024	2023	\$	%
Personnel-related.....	\$1,038,154	\$ 936,881	\$ 101,273	11
Website hosting and infrastructure.....	228,392	192,009	36,383	19
Amortization, depreciation, and impairment.....	122,595	131,611	(9,016)	(7)
Other.....	79,111	64,040	15,071	24
Total technology and development.....	<u>\$1,468,252</u>	<u>\$1,324,541</u>	<u>\$ 143,711</u>	11

Technology and development expenses increased for the year ended December 31, 2024 as compared to 2023, due to:

- an increase in personnel-related expenses primarily reflecting higher stock-based compensation expense of \$104.1 million as a result of the 2023 annual employee equity awards being granted at a lower stock price as compared to the 2024 annual employee equity awards, offset in part by the roll-off of non-recurring multi-year stock-based compensation awards. Further, personnel-related expenses increased \$42.6 million due to higher average headcount; and
- higher website hosting and infrastructure expenses driven by increased activity on our platform.

There were no material changes to note within amortization, depreciation, and impairment or other.

Sales and marketing

(in thousands, except %)	Year Ended December 31,		Change	
	2024	2023	\$	%
Marketing programs.....	\$ 247,087	\$ 134,018	\$ 113,069	84
USDC rewards.....	224,255	34,944	189,311	542
Personnel-related.....	151,054	143,762	7,292	5
Other.....	32,048	19,588	12,460	64
Total sales and marketing.....	<u>\$ 654,444</u>	<u>\$ 332,312</u>	<u>\$ 322,132</u>	97

Coinbase Global, Inc.
Notes to Consolidated Financial Statements

Intangible assets, net

Intangible assets, net, as disclosed in this footnote exclude internally developed software and crypto assets, which are presented within Software and equipment, net and the various crypto assets held line items in the Consolidated Balance Sheets, respectively. Intangible assets, net and their associated weighted average remaining useful lives in years (“Life”) consisted of the following (in thousands, except years):

	December 31, 2024				December 31, 2023			
	Gross Carrying Amount	Accumulated Amortization	Intangible Assets, Net	Life	Gross Carrying Amount	Accumulated Amortization	Intangible Assets, Net	Life
Amortizing intangible assets								
Customer relationships	\$ 75,711	\$ (65,989)	\$ 9,722	0.4	\$103,791	\$ (66,279)	\$ 37,512	3.1
Acquired developed technology	30,700	(21,962)	8,738	1.6	124,291	(105,139)	19,152	2.5
Other	3,400	(3,306)	94	0.1	66,602	(65,094)	1,508	1.0
Indefinite-lived intangible assets								
Licenses	28,000	—	28,000	N/A	28,000	—	28,000	N/A
Other	250	—	250	N/A	250	—	250	N/A
Total	<u>\$138,061</u>	<u>\$ (91,257)</u>	<u>\$ 46,804</u>		<u>\$322,934</u>	<u>\$ (236,512)</u>	<u>\$ 86,422</u>	

Amortization expense for these intangible assets was \$27.0 million, \$69.6 million, and \$106.1 million for the years ended December 31, 2024, 2023, and 2022, respectively, and there were no material impairment charges associated with these assets during these years. The Company estimates that there is no significant residual value related to these amortizing intangible assets.

Prior to the adoption of ASU 2023-08, the Company recorded gross impairment charges when the observed market price of crypto assets held decreased below the carrying value, and recovered certain impairments through subsequent crypto asset sales and disposals. Collectively, these activities were recorded in Crypto asset impairment, net in the Consolidated Statements of Operations. As a result of the adoption of ASU 2023-08, the Company no longer records impairment charges or recovery of impairments on crypto assets held. See *Note 2. Summary of Significant Accounting Policies—Recent accounting pronouncements* for additional details on the adoption of ASU 2023-08. In the applicable periods, Crypto asset impairment, net comprised the following (in thousands):

	Year Ended December 31,	
	2023	2022
Gross crypto asset impairment expense	\$ 96,783	\$ 757,257
Recoveries	(131,458)	(35,046)
Crypto asset impairment, net	<u>\$ (34,675)</u>	<u>\$ 722,211</u>

Coinbase Global, Inc.
Notes to Consolidated Financial Statements

10. LONG-TERM DEBT

The components of Long-term debt were as follows (in thousands, except percentages):

	Effective Interest Rate	Principal Amount	Unamortized Debt Discount and Issuance Costs	Net Carrying Amount
December 31, 2024				
0.50% 2026 Convertible Notes due on June 1, 2026	0.98%	\$ 1,273,013	\$ (9,395)	\$ 1,263,618
3.38% 2028 Senior Notes due on October 1, 2028	3.57%	1,000,000	(6,562)	993,438
0.25% 2030 Convertible Notes due on April 1, 2030	0.55%	1,265,000	(19,322)	1,245,678
3.63% 2031 Senior Notes due on October 1, 2031	3.77%	737,457	(6,110)	731,347
Total		<u>\$ 4,275,470</u>	<u>\$ (41,389)</u>	<u>\$ 4,234,081</u>
December 31, 2023				
0.50% 2026 Convertible Notes due on June 1, 2026	0.98%	\$ 1,273,013	\$ (15,378)	\$ 1,257,635
3.38% 2028 Senior Notes due on October 1, 2028	3.57%	1,000,000	(8,218)	991,782
3.63% 2031 Senior Notes due on October 1, 2031	3.77%	737,457	(6,917)	730,540
Total		<u>\$ 3,010,470</u>	<u>\$ (30,513)</u>	<u>\$ 2,979,957</u>

Convertible senior notes

2026 Convertible Notes

In May 2021, the Company issued an aggregate principal amount of \$1.4 billion of convertible senior notes due in 2026 (the “2026 Convertible Notes”) pursuant to an indenture, dated May 18, 2021 (the “2026 Convertible Notes Indenture”), between the Company and U.S. Bank National Association, as trustee. The 2026 Convertible Notes were offered and sold in a private offering to qualified institutional buyers pursuant to Rule 144A under the Securities Act of 1933, as amended (the “Securities Act”).

The 2026 Convertible Notes are senior unsecured obligations of the Company and bear interest at a rate of 0.5% per year payable semi-annually in arrears on June 1 and December 1 of each year, beginning on December 1, 2021. The 2026 Convertible Notes mature on June 1, 2026, unless earlier converted, redeemed or repurchased. The proceeds received of \$1.4 billion were net of a 1% original issue discount and immaterial debt issuance costs. In 2023, the Company paid \$126.4 million to repurchase \$164.5 million of aggregate principal amount of the 2026 Convertible Notes with a carrying value of \$162.4 million, net of immaterial unamortized issuance costs, original issue discount, and legal fees. The Company recorded a corresponding net gain on extinguishment of long-term debt during the year ended December 31, 2023 of \$35.8 million in Other (income) expense, net within the Consolidated Statements of Operations.

The initial conversion rate for the 2026 Convertible Notes is 2.6994 shares of the Company's Class A common stock per \$1,000 principal amount of 2026 Convertible Notes, which is equivalent to an initial conversion price of approximately \$370.45 per share of the Class A common stock. The conversion rate and conversion price are subject to customary adjustments under certain circumstances in accordance with the terms of the 2026 Convertible Notes Indenture.

The 2026 Convertible Notes will be convertible at the option of the holders before December 1, 2025 only upon the occurrence of certain events, and from and after December 1, 2025, at any time at their election until the close of business on the second scheduled trading day immediately preceding June 1, 2026, only under certain circumstances. Upon conversion, the Company may satisfy its conversion obligation by paying or delivering, as applicable, cash, shares of the Company's Class A common stock or a combination of cash and shares of the Company's Class A common stock, at the Company's election, based on the applicable conversion rate. In addition, if certain corporate events that constitute a make-

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whole fundamental change (as defined in the 2026 Convertible Notes Indenture) occur, then the conversion rate will, in certain circumstances, be increased for a specified period of time. Additionally, in the event of a corporate event constituting a fundamental change (as defined in the 2026 Convertible Notes Indenture), holders of the 2026 Convertible Notes may require the Company to repurchase all or a portion of their 2026 Convertible Notes at a repurchase price equal to 100% of the principal amount of the 2026 Convertible Notes being repurchased, plus accrued and unpaid special interest or additional interest, if any, to, but excluding, the date of the fundamental change repurchase.

2030 Convertible Notes

In March 2024, the Company issued an aggregate principal amount of \$1.3 billion of convertible senior notes due 2030 (the “2030 Convertible Notes”), which included the full exercise by the initial purchasers of their option to purchase up to an additional \$165.0 million aggregate principal amount of the 2030 Convertible Notes, pursuant to an indenture, dated March 18, 2024 between the Company and U.S. Bank Trust Company, National Association, as trustee (the “2030 Convertible Notes Indenture”). The 2030 Convertible Notes were offered and sold in a private offering to qualified institutional buyers pursuant to Rule 144A under the Securities Act.

The 2030 Convertible Notes are senior unsecured obligations of the Company and accrue interest of 0.25% per year payable semi-annually in arrears on April 1 and October 1 of each year, beginning on October 1, 2024. The 2030 Convertible Notes mature on April 1, 2030, unless earlier repurchased, redeemed or converted. The proceeds received of \$1.2 billion, were net of a 1.5% original issue discount and immaterial debt issuance costs.

The 2030 Convertible Notes will be convertible into cash, shares of the Company’s Class A common stock, or a combination thereof, at the Company’s election at an initial conversion rate of 2.9981 shares of the Company’s Class A common stock per \$1,000 principal amount of notes. This is equivalent to an initial conversion price of approximately \$333.54 per share of the Company’s Class A common stock. The conversion rate and conversion price are subject to customary adjustments under certain circumstances in accordance with the terms of the 2030 Convertible Notes Indenture.

Beginning with the third quarter of 2024, the 2030 Convertible Notes are convertible at the option of the holder if the last reported sale price per share of Class A common stock exceeds 130% of the conversion price for each of at least 20 trading days, during the 30 consecutive trading days ending on, and including, the last trading day of the immediately preceding calendar quarter. Upon conversion, the Company may satisfy its conversion obligation by paying or delivering, as applicable, cash, shares of the Company’s Class A common stock, or a combination of cash and shares of the Company’s Class A common stock, at the Company’s election, based on the applicable conversion rate. In addition, if certain corporate events that constitute a make-whole fundamental change (as defined in the 2030 Convertible Notes Indenture) occur, then the conversion rate will, in certain circumstances, be increased for a specified period of time. Additionally in the event of a corporate event constituting a fundamental change (as defined in the 2030 Convertible Notes Indenture), holders of the 2030 Convertible Notes may require the Company to repurchase all or a portion of their 2030 Convertible Notes at a repurchase price equal to 100% of the principal amount of the 2030 Convertible Notes being repurchased, plus accrued and unpaid special interest or additional interest, if any, to, but excluding, the date of the fundamental change repurchase.

The Company accounts for the 2030 Convertible Notes wholly as debt because (1) the conversion features do not require bifurcation as a derivative under ASC 815, *Derivatives and Hedging* and (2) the 2030 Convertible Notes were not issued at a substantial premium.

Capped calls

On May 18, 2021, in connection with the pricing of the 2026 Convertible Notes, on March 13, 2024, in connection with the pricing of the 2030 Convertible Notes, and on March 14, 2024, in connection with the full exercise by the initial purchasers of their option to purchase additional 2030 Convertible Notes, the

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Company entered into privately negotiated capped call transactions (the “2026 Capped Calls” and “2030 Capped Calls,” respectively, and “the Capped Calls,” collectively) with certain financial institutions (the “2026 Option Counterparties” and “2030 Option Counterparties,” respectively, and the “Option Counterparties” collectively) at a cost of \$90.1 million and \$104.1 million, respectively, in each case in exchange for the right to receive a predetermined amount of cash, shares of the Company’s Class A common stock, or a combination thereof, at the Company’s election. The Capped Calls cover, subject to customary adjustments, the number of shares of the Company’s Class A common stock initially underlying each of the 2026 Convertible Notes and 2030 Convertible Notes (collectively, the “Convertible Notes”), as applicable. The Capped Calls allow the Company to hedge the economic effect of the conversion options embedded in the Convertible Notes and purchase shares of its own Class A common stock at a specified strike price. By entering into the Capped Calls, the Company expects to reduce the potential dilution to its Class A common stock (or, in the event a conversion of the Convertible Notes is settled in cash, to reduce its cash payment obligation) in the event that at the time of conversion of the Convertible Notes its Class A common stock price exceeds the conversion price of the Convertible Notes. The 2026 Capped Calls have an initial strike price of approximately \$370.45 per share of Class A common stock (the “2026 Initial Strike Price”) and an initial cap price of approximately \$478.00 per share of Class A common stock (the “2026 Initial Cap Price”). The 2030 Capped Calls have an initial strike price of approximately \$333.54 per share of Class A common stock (the “2030 Initial Strike Price”) and an initial cap price of approximately \$503.46 per share of Class A common stock (the “2030 Initial Cap Price”). Upon expiration of the agreements underlying the Capped Calls, the Capped Calls will be automatically exercised. If the closing market price of the Class A common stock is above the applicable initial cap price, the initial investments will be returned with a premium in either cash or shares at the Company’s election. If the closing market price of the Class A common stock is at or below the applicable initial strike price, the Company will receive the number of shares specified in the agreements.

Upon certain extraordinary events, nationalization, insolvency or delisting event, or additional disruption events, the Capped Calls are contractually structured to terminate. The Company has the contractual right to terminate the Capped Calls upon repurchase, redemption, or conversion (in the case of conversion, prior to December 1, 2025 or October 1, 2029, for the 2026 Capped Calls and 2030 Capped Calls, respectively) of the underlying Convertible Notes, in certain circumstances.

The Capped Calls also include early termination provisions based on beneficial ownership positions of the counterparties. That is, if at any time the counterparty’s holdings exceed 8% beneficial ownership of the Company (as defined under Section 13 of the Exchange Act) and the counterparty is unable, after commercially reasonable efforts, to effect a transfer or assignment of all or a portion of the transaction such that an excess ownership position no longer exists, the counterparty may early terminate a portion of the Capped Calls, in which case the Company can settle in cash or shares of its Class A common stock.

Senior notes

In September 2021, the Company completed the issuance of an aggregate principal amount of \$1.0 billion of senior notes due on October 1, 2028 (the “2028 Senior Notes”) and an aggregate principal amount of \$1.0 billion of senior notes due on October 1, 2031 (the “2031 Senior Notes” and together with the 2028 Senior Notes, the “Senior Notes”). The Senior Notes were issued within the United States only to persons reasonably believed to be qualified institutional buyers pursuant to Rule 144A under the Securities Act, and outside the United States to non-U.S. persons pursuant to Regulation S under the Securities Act.

In August and September 2023, the Company paid \$177.2 million to repurchase \$262.5 million of aggregate principal amount of the 2031 Senior Notes with a carrying value of \$259.9 million, net of immaterial unamortized issuance costs and legal fees. The Company recorded a corresponding net gain on extinguishment of long-term debt during the year of \$81.6 million in Other (income) expense, net within the Consolidated Statements of Operations.

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The Company issued the Senior Notes at par, with the proceeds net of immaterial debt issuance costs. Interest on the Senior Notes is payable semi-annually in arrears on April 1 and October 1 of each year, beginning in April 2022 at 3.375% per annum for the 2028 Senior Notes and 3.625% per annum for the 2031 Notes. The entire principal amount of the Senior Notes is due at the time of maturity, unless repurchased or redeemed at an earlier date. The Senior Notes were issued pursuant to an indenture, dated September 17, 2021, among the Company, the Guarantor (as defined below) and U.S. Bank National Association, as trustee (the “Senior Notes Indenture”).

The Senior Notes are redeemable at the Company's discretion, in whole or in part, at any time. If redeemed prior to October 1, 2024 for the 2028 Senior Notes and October 1, 2026 for the 2031 Senior Notes, the redemption price is subject to a make-whole premium calculated by reference to then-current U.S. Treasury rates plus a fixed spread, plus any accrued and unpaid interest. If redeemed on or after those respective dates, the make-whole premium does not apply.

If the 2028 Senior Notes are redeemed before October 1, 2025, the Company may redeem any or all of the notes at the redemption prices equal to 101.688% of the principal amount of the 2028 Senior Notes plus accrued and unpaid interest thereon, if any to, but excluding the redemption date.

Upon the occurrence of a change of control triggering event (as defined in the Senior Notes Indenture), the Company must offer to repurchase each series of the Senior Notes at a repurchase price equal to 101% of the principal amount of the Senior Notes to be repurchased, plus any accrued and unpaid interest, to, but excluding, the applicable repurchase date.

The Senior Notes are guaranteed by one of the Company's domestic subsidiaries, Coinbase, Inc. (the “Guarantor”).

The Senior Notes Indenture contains customary covenants that restrict the ability of the Company and certain of its subsidiaries to incur debt and liens. The Company is not aware of any instances of non-compliance with the covenants as of December 31, 2024.

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11. DERIVATIVES

During the periods presented, the Company's derivatives were all embedded forward contracts to receive or deliver a fixed amount of crypto assets in the future.

Impact of derivatives on the Consolidated Balance Sheets

The following table summarizes the balance sheet impact of derivative instruments as measured in U.S. dollar equivalents (in thousands):

Consolidated Balance Sheets Location	Notional	Fair Value, Net	Total
December 31, 2024			
Not designated as hedging instruments			
Accounts receivable, net ⁽¹⁾	\$ 16,264	\$ 18,557	\$ 34,821
Other current assets ⁽¹⁾	99,265	61,304	160,569
Crypto asset borrowings	310,040	(9,930)	300,110
Obligation to return collateral ⁽¹⁾	526,337	241,147	767,484
Accrued expenses and other current liabilities ⁽¹⁾	37,428	(4,106)	33,322
December 31, 2023			
Designated as hedging instruments			
Crypto asset borrowings	\$ 31,666	\$ 13,547	\$ 45,213
Obligation to return collateral ⁽¹⁾	255,686	98,322	354,008
Not designated as hedging instruments			
Accounts receivable, net ⁽¹⁾	16,335	28,065	44,400
Crypto asset borrowings	12,503	5,264	17,767
Accrued expenses and other current liabilities ⁽¹⁾	20,092	590	20,682

(1) Represents the portion of the Consolidated Balance Sheet line item that is denominated in crypto assets.

The following table summarizes information on derivatives by accounting designation (in thousands):

Consolidated Balance Sheets Location	Gross Derivative Assets			Gross Derivative Liabilities		
	Not Designated as Hedges	Designated as Hedges	Total Derivative Assets	Not Designated as Hedges	Designated as Hedges	Total Derivative Liabilities
December 31, 2024						
Accounts receivable, net	\$ 20,368	\$ —	\$ 20,368	\$ 1,811	\$ —	\$ 1,811
Other current assets	61,304	—	61,304	—	—	—
Crypto asset borrowings	18,030	—	18,030	8,100	—	8,100
Obligation to return collateral	2,149	—	2,149	243,296	—	243,296
Accrued expenses and other current liabilities	6,814	—	6,814	2,708	—	2,708
Total fair value of derivatives	<u>\$108,665</u>	<u>\$ —</u>	<u>\$108,665</u>	<u>\$255,915</u>	<u>\$ —</u>	<u>\$255,915</u>
December 31, 2023						
Accounts receivable, net	\$ 28,065	\$ —	\$ 28,065	\$ —	\$ —	\$ —
Crypto asset borrowings	26	(25)	1	5,290	13,522	18,812
Obligation to return collateral	—	389	389	—	98,711	98,711
Accrued expenses and other current liabilities	2,511	—	2,511	3,101	—	3,101
Total fair value of derivatives	<u>\$ 30,602</u>	<u>\$ 364</u>	<u>\$ 30,966</u>	<u>\$ 8,391</u>	<u>\$112,233</u>	<u>\$120,624</u>

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Impact of derivatives on the Consolidated Statements of Operations

(Losses) gains on changes in the fair value of derivative instruments recorded in the Consolidated Statements of Operations were as follows (in thousands):

	Derivatives	Hedged Items	Income Statement Impact ⁽⁵⁾	Derivatives	Hedged Items	Income Statement Impact
	Year Ended December 31, 2024			Year Ended December 31, 2023		
Designated as hedging instruments						
Crypto asset futures ⁽¹⁾	\$ —	\$ —	\$ —	\$ (40,191)	\$ 46,453	\$ 6,262
Crypto asset borrowings ⁽¹⁾	—	—	—	(75,249)	117,393	42,144
Obligation to return collateral ⁽²⁾	—	—	—	(98,322)	98,322	—
Not designated as hedging instruments						
Crypto asset borrowings ⁽³⁾	28,304	—	28,304	(47,160)	—	(47,160)
Obligation to return collateral ⁽²⁾	(142,825)	—	(142,825)	—	—	—
Other ⁽⁴⁾	83,269	—	83,269	37,031	—	37,031
Total	\$ (31,252)	\$ —	\$ (31,252)	\$ (223,891)	\$ 262,168	\$ 38,277

(1) Changes in fair value are recorded in Other operating expense, net in the Consolidated Statements of Operations.

(2) Changes in fair value are recorded in Transaction expense in the Consolidated Statements of Operations.

(3) As of January 1, 2024, the date of the Company's adoption of ASU 2023-08, changes in fair value are recorded in Transaction expense in the Consolidated Statements of Operations. Prior to adoption of ASU 2023-08, changes in fair value were recorded in Other operating expense, net in the Consolidated Statements of Operations.

(4) Changes in fair value are recorded in Other (income) expense, net or Other operating expense, net in the Consolidated Statements of Operations depending on the nature of the derivative.

(5) The income statement impact of Crypto asset borrowings and Obligation to return collateral derivatives is naturally offset, at least in part, by the impact of associated naturally offsetting positions in the Consolidated Statements of Operations.

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12. OTHER CONSOLIDATED BALANCE SHEETS DETAILS

The following table presents certain other details of the Consolidated Balance Sheets (in thousands):

	December 31,	
	2024	2023
Other current assets		
Prepaid expenses	\$ 88,500	\$ 79,552
Income taxes receivable	5,530	63,726
Other	183,506	69,262
Total other current assets	<u>\$ 277,536</u>	<u>\$ 212,540</u>
Other non-current assets		
Strategic investments	\$ 374,161	\$ 343,045
Income taxes receivable	60,004	—
Lease ROU assets	81,151	12,737
Other	33,135	19,840
Total other non-current assets	<u>\$ 548,451</u>	<u>\$ 375,622</u>
Accrued expenses and other current liabilities		
Accrued payroll and payroll related expenses	\$ 186,151	\$ 224,237
Other accrued expenses	145,369	89,254
Income taxes payable	90,910	17,366
Other payables	204,390	126,032
Total accrued expenses and other current liabilities	<u>\$ 626,820</u>	<u>\$ 456,889</u>
Other non-current liabilities		
Lease liabilities	\$ 85,789	\$ 3,821
Other	3,919	3,395
Total other non-current liabilities	<u>\$ 89,708</u>	<u>\$ 7,216</u>

Leases

The Company has operating leases for corporate offices. The leases have remaining lease terms of less than one year to 11 years, generally with options to extend or terminate the lease that were not included in determining the lease terms as the Company is not reasonably certain to exercise those options.

Maturities of lease liabilities were as follows (in thousands):

2025	\$ 9,885
2026	14,069
2027	13,137
2028	12,203
Thereafter	83,033
Total lease payments	132,327
Less: imputed interest	(36,941)
Total lease liabilities	<u>\$ 95,386</u>

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Other information related to leases was as follows:

	December 31,	
	2024	2023
Weighted-average remaining lease term (in years)	9.8	1.5
Weighted-average discount rate	6.36%	4.05%

13. FAIR VALUE MEASUREMENTS

The following table sets forth by level within the fair value hierarchy, the Company's assets and liabilities measured and recorded at fair value on a recurring basis (in thousands):

	December 31,			
	2024		2023	
	Level 1	Level 2	Level 1	Level 2
Assets				
Cash equivalents ⁽¹⁾	\$ 6,607,023	\$ —	\$ 3,682,917	\$ —
Restricted cash equivalents ⁽²⁾	1,415	—	—	—
Customer custodial funds ⁽³⁾	4,269,410	—	3,301,029	—
Crypto assets held for operations	82,781	—	—	—
Crypto asset loan receivables	—	92,619	—	22,229
Crypto assets held as collateral ⁽⁴⁾	767,484	—	354,008	—
Crypto assets borrowed ⁽⁴⁾	261,052	—	45,212	—
Crypto assets held for investment	1,552,995	—	—	—
Derivative assets ⁽⁵⁾	—	108,665	—	30,966
Total assets	<u>\$ 13,542,160</u>	<u>\$ 201,284</u>	<u>\$ 7,383,166</u>	<u>\$ 53,195</u>
Liabilities				
Derivative liabilities ⁽⁵⁾	\$ —	\$ 255,915	\$ —	\$ 120,624

(1) Represents cash equivalents, which comprise money market funds. Excludes cash, comprising \$1.8 billion of corporate cash held in deposit at banks and \$88.2 million held at venues as of December 31, 2024, and \$1.4 billion of corporate cash held in deposit at banks and \$88.8 million held at venues as of December 31, 2023.

(2) Represents restricted cash equivalents, which comprise money market funds. Excludes restricted cash, comprising \$37.1 million held in deposit at banks and held at venues as of December 31, 2024.

(3) Represents customer custodial cash equivalents, which comprise money market funds. Excludes customer custodial funds, comprising \$1.9 billion and \$1.3 billion held in deposit at financial institutions and customer custodial funds in transit as of December 31, 2024 and December 31, 2023, respectively.

(4) The December 31, 2023 amount represents crypto assets designated as hedged items in fair value hedges.

(5) See *Note 11. Derivatives* for additional details.

The Company has valued all Level 2 assets and liabilities using quoted market prices for the underlying crypto assets.

Assets and liabilities measured and recorded at fair value on a non-recurring basis

The Company's non-financial assets, such as software and equipment, goodwill, crypto assets held prior to the adoption of ASU 2023-08, and other intangible assets, are adjusted to fair value when an impairment charge is recognized.

The Company's strategic investments are recorded at cost and adjusted to fair value for observable transactions for same or similar investments of the same issuer or for impairment, on a non-recurring basis. Fair value measurements for strategic investments are based predominantly on Level 3 inputs to an Option-Pricing Model that uses publicly available market data of comparable companies and other unobservable inputs including expected volatility, expected time to liquidity, adjustments for other company-specific developments, and the rights and obligations of the securities the Company holds.

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The changes in the carrying value of strategic investments accounted for under the measurement alternative are presented below (in thousands):

	Year Ended December 31,	
	2024	2023
Beginning balance	\$ 330,346	\$ 315,285
Net additions ⁽¹⁾	48,031	60,979
Upward adjustments	1,861	62
Previously-held interest in acquiree ⁽²⁾	—	(20,000)
Impairments and downward adjustments	(18,717)	(25,980)
Ending balance	<u>\$ 361,521</u>	<u>\$ 330,346</u>

(1) Net additions include additions from purchases and reductions due to exits of strategic investments.

(2) See *Note 19. Acquisitions* for additional details on the Company's 2023 acquisition.

The following table summarizes the cumulative impact from remeasurement of measurement alternative investments outstanding at the dates shown, recorded in Other (income) expense, net in the Consolidated Statements of Operations (in thousands):

	December 31,	
	2024	2023
Cumulative upward adjustments	\$ 6,774	\$ 4,913
Cumulative impairments and downward adjustments	\$ (145,762)	\$ (127,045)

Assets and liabilities not measured and recorded at fair value

Certain of the Company's financial instruments are not measured and recorded at fair value because carrying values of these instruments approximate their fair values due to their liquid or short-term nature. These include cash, restricted cash, USDC, certain customer custodial funds and related liabilities, and the following financial instruments denominated in fiat or USDC, as applicable: accounts receivable, loan receivables, collateral pledged, obligations to return collateral, and accounts payable. If these financial instruments were recorded at fair value, they would be based on Level 1 valuation inputs, except for the following financial instruments denominated in fiat or USDC, as applicable, which would be based on Level 2 valuation inputs: loan receivables, certain other receivables, and certain payables.

The Company's long-term debt is not measured and recorded at fair value. As of December 31, 2024, the estimated fair value of the 2026 Convertible Notes, the 2030 Convertible Notes, the 2028 Senior Notes, and the 2031 Senior Notes were \$1.3 billion, \$1.4 billion, \$901.3 million, and \$625.0 million, respectively. As of December 31, 2023, the estimated fair value of the 2026 Convertible Notes, the 2028 Senior Notes, and the 2031 Senior Notes were \$1.2 billion, \$828.4 million, and \$557.8 million, respectively. These are based on quoted prices for these instruments in markets that are not active and other market observable inputs, which are considered Level 2 valuation inputs.

14. CAPITAL STOCK

Preferred stock

In connection with the Direct Listing, the Company's amended and restated certificate of incorporation (the "Restated Certificate of Incorporation") became effective, which authorized the issuance of 500,000,000 shares of undesignated preferred stock with a par value of \$0.00001 per share with rights and preferences, including voting rights, designated from time to time by the Company's board of directors (the "Board").

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Common stock

Pursuant to the Restated Certificate of Incorporation, the Board is authorized to issue 10,000,000,000 shares of Class A common stock, 500,000,000 shares of Class B common stock, and 500,000,000 shares of undesignated common stock.

Dividend rights

Shares of Class A common stock and Class B common stock will be treated equally, identically, and ratably, on a per share basis, with respect to dividends that may be declared by the Board.

Voting rights

Holders of Class A common stock are entitled to one vote per share and holders of Class B common stock are entitled to 20 votes per share. Holders of Class A common stock and Class B common stock generally vote together as a single class on all matters (including the election of directors) submitted to a vote of the stockholders of the Company.

Right to receive liquidation distributions

Upon a liquidation, dissolution, or winding-up of the Company, the assets legally available for distribution to stockholders would be distributed ratably among the holders of Class A common stock and Class B common stock and any participating preferred stock or new series of common stock outstanding at that time, subject to prior satisfaction of all outstanding debt and liabilities and the preferential rights of and the payment of liquidation preferences, if any, on any outstanding shares of preferred stock or new series of common stock.

Conversion

Shares of Class B common stock are convertible at any time at the option of the holder into shares of Class A common stock on a one-to-one basis. In addition, each share of Class B common stock will automatically convert into a share of Class A common stock upon a sale or transfer (other than with respect to certain estate planning and other transfers). Further, upon certain events specified in the Restated Certificate of Incorporation, all outstanding shares of Class B common stock will convert automatically into shares of Class A common stock. Once converted into Class A common stock, the Class B common stock will not be reissued.

Share repurchase program

In October 2024, the Board authorized the repurchase of up to an aggregate of \$1.0 billion of the Company's Class A common stock without expiration. Repurchases may be made at management's discretion from time to time on the open market (including through trading plans intended to qualify under Rule 10b5-1 under the Exchange Act), through privately negotiated transactions, or by other methods in accordance with applicable securities laws and other restrictions. The timing and amount of any repurchases will depend on market conditions and other considerations. The Share Repurchase Program does not obligate the Company to repurchase any dollar amount or number of shares of the Company's Class A common stock, and the program may be modified, suspended, or discontinued at any time. As of December 31, 2024, no shares have been repurchased under the Share Repurchase Program.

15. STOCK-BASED COMPENSATION**Stock plans**

As of December 31, 2024, there were 23,649,488 shares of Class A common stock subject to issued and outstanding options, RSUs, and PRSUs, and 2,352,610 shares of Class B common stock subject to issued and outstanding options under the Plans. Under the 2021 Plan, there were 56,740,929 shares of Class A common stock available for future issuance.

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Stock options

A summary of stock options activity, including performance-based options, is as follows (in thousands, except per share and years data):

		Weighted Average		
	Options Outstanding	Exercise Price Per Share	Remaining Contractual Life (Years)	Aggregate Intrinsic Value
Balance at January 1, 2024	28,697	\$ 25.01	6.1	\$4,295,055
Exercised	(5,687)	22.18		
Forfeited and cancelled	(81)	59.90		
Balance at December 31, 2024	<u>22,929</u>	\$ 25.59	5.2	\$5,106,538
Exercisable at December 31, 2024	16,795	\$ 26.36	5.1	\$3,727,374
Vested and expected to vest at December 31, 2024	16,795	\$ 26.36	5.1	\$3,727,374

As of December 31, 2024, there was total unrecognized compensation cost of \$25.6 million related to unvested stock options, which cost is expected to be recognized over a weighted-average period of 2.7 years.

The intrinsic value is calculated as the difference between the exercise price of the underlying stock option award and the estimated fair value of the Company's common stock. The aggregate intrinsic value of stock options exercised during the years ended December 31, 2024, 2023, and 2022 was \$1.2 billion, \$226.5 million, and \$336.3 million, respectively.

During the years ended December 31, 2024, 2023, and 2022, 1,647,333, 4,567,625, and 7,592,673 stock options, respectively, vested with a weighted-average grant date fair value of \$24.81, \$15.93, and \$12.46 per share, respectively.

The weighted-average assumptions used under the Black-Scholes-Merton Option-Pricing Model to calculate the fair value of the options granted during the periods presented were as follows (in percentages, except as noted):

	Year Ended December 31,	
	2023	2022
Dividend yield	0.0	0.0
Expected volatility	90.5	59.3
Expected term (in years)	5.8	5.8
Risk-free interest rate	3.9	2.1

Chief Executive Officer performance stock options

On August 11, 2020, the Company granted its Chief Executive Officer an option award to purchase up to 9,293,911 shares of Class A common stock, at an exercise price of \$23.46 per share. Vesting of the award is dependent on both performance-based and market-based conditions being met. The total grant date fair value of this award was \$56.7 million.

The performance condition was contingent on the Company's registration statement being declared effective by the SEC under the Securities Act. The occurrence of this event was considered to not be probable until such time that it occurred. During April 2021, as a result of the Company's registration statement being declared effective by the SEC, the performance condition of the option award granted to the Chief Executive Officer was met. No awards vested at that time as none of the accompanying market-based conditions had been met.

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The market conditions are contingent on the Company's Class A common stock price achieving certain stock price target milestones. On July 8, 2021, the first price target of the award was met, resulting in the vesting of 3,159,930 shares of Class A common stock subject to the option award. During each of the years ended December 31, 2024, 2023, and 2022, stock-based compensation expense of \$3.9 million was recognized related to this award.

Restricted stock units

A summary of RSU activity is as follows (in thousands, except per share data):

	Number of Shares	Weighted- Average Grant Date Fair Value Per Share
Balance at January 1, 2024	3,016	\$ 108.07
Granted	6,233	158.85
Vested	(6,189)	135.10
Forfeited and cancelled	(710)	133.75
Balance at December 31, 2024	2,350	\$ 163.82

During the years ended December 31, 2023 and 2022, the weighted-average grant date fair value per share granted was \$108.07 and \$112.35, respectively. During the years ended December 31, 2024, 2023, and 2022, the aggregate fair value as of the vest date of RSUs that vested was \$1.4 billion, \$753.9 million, and \$947.9 million, respectively.

In December 2022, the Company modified certain RSU awards held by 1,198 employees to accelerate vesting of the remaining unvested awards on December 21, 2022 instead of the original vest date of February 20, 2023. The modification of awards did not result in any incremental compensation cost, however \$36.1 million of stock-based compensation expense was accelerated and recognized upon modification.

As of December 31, 2024, there was total unrecognized compensation cost of \$307.2 million related to unvested RSUs, which cost is expected to be recognized over a weighted-average period of 1.4 years.

Performance restricted stock units

A summary of PRSU activity is as follows (in thousands, except per share data):

	Number of Shares	Weighted- Average Grant Date Fair Value Per Share
Balance at January 1, 2024	804	\$ 55.42
Vested	(80)	55.42
Balance at December 31, 2024	724	\$ 55.42

President & Chief Operating Officer performance award

On April 20, 2023, the Company's Compensation Committee granted the President & Chief Operating Officer an award of PRSUs covering a target of 401,983 shares of Class A common stock and up to a maximum of 803,966 shares of Class A common stock (the "2023 COO Performance Award").

Up to 40% of the 2023 COO Performance Award is subject to vesting based upon achievement of certain cumulative revenue and cumulative adjusted EBITDA target values which are separately evaluated for the period commencing January 1, 2023 and ending on December 31, 2025, subject to her continued employment until February 20, 2026 (the "Financial Performance Tranches"). Up to 60% of the

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2023 COO Performance Award is subject to vesting in increments based upon a relative shareholder return target value for the three annual periods between January 1, 2023 and December 31, 2025, and the three year period between January 1, 2023 and December 31, 2025, subject to her continued employment through the applicable year end dates (the “Market Tranches”). The total grant date fair value of the Market Tranches of this award was \$25.1 million, while the grant date fair value of the Financial Performance Tranches was \$19.5 million assuming maximum achievement.

During the years ended December 31, 2024 and 2023, stock-based compensation expense of \$10.0 million and \$9.8 million was recognized, respectively, related to this award.

During the year ended December 31, 2024, certain conditions were met that triggered expensing of a portion of Financial Performance Tranches that were previously not being expensed until such conditions were met. The Company is not yet recognizing expense with respect to the remaining portion of these tranches; as of December 31, 2024, the remaining grant date fair value of the Financial Performance Tranches that is not yet expensing is \$17.0 million. As of December 31, 2024, there was total unrecognized compensation cost of \$7.7 million related to the unvested PRSUs that are currently expensing, which costs are expected to be recognized over a weighted-average period of one year.

Restricted stock

A summary of restricted stock activity is as follows (in thousands, except per share data):

	Number of Shares	Weighted- Average Grant Date Fair Value Per Share
Balance at January 1, 2024	543	\$ 114.22
Vested	(199)	138.05
Forfeited and cancelled	(4)	267.48
Balance at December 31, 2024	<u>340</u>	<u>\$ 98.49</u>

During the years ended December 31, 2023 and 2022, the weighted-average grant date fair value per share granted was \$114.22 and \$137.05, respectively. During the years ended December 31, 2024, 2023, and 2022, the aggregate fair value as of the vest date of restricted stock that vested was \$37.8 million, \$56.0 million, and \$148.6 million, respectively.

As of December 31, 2024, there was total unrecognized compensation cost of \$8.5 million related to unvested restricted stock, which cost is expected to be recognized over a weighted-average period of 0.9 years.

Employee Stock Purchase Plan

During the years ended December 31, 2024, 2023, and 2022, total stock-based compensation expense of \$13.4 million, \$17.3 million, and \$28.4 million, respectively, was recognized related to the ESPP. As of December 31, 2024 and 2023, the Company had a liability of \$5.1 million and \$4.1 million, respectively, related to the accumulated payroll deductions, which are refundable to employees who withdraw from the ESPP. This amount is recorded in Accrued expenses and other current liabilities in the Consolidated Balance Sheets. As of December 31, 2024, there were 11.0 million shares of Class A common stock available for issuance under the ESPP.

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Stock-based compensation

The effects of stock-based compensation on the Consolidated Statements of Operations and Consolidated Balance Sheets are as follows (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Statements of Operations			
Technology and development	\$ 564,726	\$ 476,478	\$ 1,093,983
Sales and marketing	69,460	59,000	76,153
General and administrative	278,652	245,190	395,687
Restructuring	—	84,042	—
Total stock-based compensation expense	<u>\$ 912,838</u>	<u>\$ 864,710</u>	<u>\$ 1,565,823</u>
Balance Sheets			
Software and equipment, net ⁽¹⁾	\$ 48,068	\$ 53,617	\$ 118,017

(1) Represents capitalized stock-based compensation that was recorded to Software and equipment, net during the years presented. See Note 8. *Software and Equipment, Net* for additional details.

During the years ended December 31, 2024, 2023, and 2022, the Company recognized an income tax benefit of \$537.7 million, \$205.6 million, and \$246.6 million, respectively, related to stock-based compensation expense.

16. OTHER (INCOME) EXPENSE, NET

Other (income) expense, net consisted of the following (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Losses (gains) on strategic investments, net	\$ 11,553	\$ (24,368)	\$ 101,219
Losses on foreign exchange, net	2,485	10,609	161,749
Gain on extinguishment of long-term debt, net	—	(117,383)	—
Other	(43,112)	(36,441)	2,505
Total other (income) expense, net	<u>\$ (29,074)</u>	<u>\$ (167,583)</u>	<u>\$ 265,473</u>

17. INCOME TAXES

The components of income (loss) before income taxes were attributable to the following regions (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Domestic	\$ 2,909,765	\$ (113,067)	\$ (3,071,951)
Foreign	32,879	36,222	7,369
Total income (loss) before income taxes	<u>\$ 2,942,644</u>	<u>\$ (76,845)</u>	<u>\$ (3,064,582)</u>

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Provision for (benefit from) income taxes consisted of the following (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Current			
Federal	\$ 120,412	\$ 8,761	\$ 1,654
State	59,961	24,236	3,985
Foreign	31,890	11,621	22,763
Total current	212,263	44,618	28,402
Deferred			
Federal	134,719	(218,165)	(361,056)
State	22,376	416	(126,713)
Foreign	(5,780)	1,415	19,734
Total deferred	151,315	(216,334)	(468,035)
Total provision for (benefit from) income taxes	<u>\$ 363,578</u>	<u>\$ (171,716)</u>	<u>\$ (439,633)</u>

The table below provides the updated requirements of ASU 2023-09 for 2024. See *Note 2. Summary of Significant Accounting Policies—Recent accounting pronouncements* for additional details on the adoption of ASU 2023-09.

The effective income tax rate for the year ended December 31, 2024 differs from the statutory federal income tax rate as follows (in thousands, except percentages):

	Year Ended December 31, 2024	
	\$	%
Provision for income taxes at U.S. federal statutory rate	\$ 617,955	21.00%
State and local income taxes, net of federal benefit ⁽¹⁾	66,325	2.25
Foreign tax effects	18,705	0.64
Effect of changes in tax laws or rates enacted in the current period	—	—
Effect of cross-border tax laws:		
Foreign Derived Intangible Income (“FDII”)	(11,592)	(0.39)
Other	(1,472)	(0.05)
Tax credits:		
Research and development (“R&D”) credits	(69,603)	(2.37)
Valuation allowance	(7,493)	(0.25)
Non-taxable or non-deductible items:		
Equity compensation	(276,645)	(9.40)
Non-deductible compensation	24,114	0.82
Uncertain tax positions	3,244	0.11
Adjustment to prior period provision	(1,110)	(0.04)
Other adjustments	1,150	0.04
Total tax provision and effective tax rate	<u>\$ 363,578</u>	<u>12.36%</u>

(1) State taxes in California, New York, New Jersey, and Illinois made up the majority (greater than 50%) of the tax effect in this category.

The Company’s effective tax rate of 12.36% for the year ended December 31, 2024 is due primarily to tax benefits related to stock-based compensation and federal R&D credits, reduced by state taxes and certain nondeductible compensation.

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As previously disclosed for the years ended December 31, 2023 and 2022, prior to the adoption of ASU 2023-09, the effective income tax rate differs from the statutory federal income tax rate as follows:

	Year Ended December 31,	
	2023	2022
	%	%
U.S. statutory rate	21.00%	21.00%
State income taxes, net of federal benefit	6.08	5.04
Foreign rate differential	(0.14)	(0.02)
Non-deductible compensation	(48.93)	(1.34)
Equity compensation	43.51	(3.43)
Adjustment to prior year provision	24.85	(0.23)
R&D credits	62.20	1.40
Change in valuation allowance	195.59	(6.37)
Foreign tax credit	6.31	—
FDII	0.65	—
Global Intangible Low Taxed Income (GILTI)	(18.55)	(0.94)
Uncertain tax positions	(56.06)	(0.60)
Other	(13.05)	(0.16)
Effective income tax rate	223.46%	14.35%

The Company's effective tax rate of 223.46% for the year ended December 31, 2023 is due primarily to a reduction of a valuation allowance related to impairment charges on crypto assets held and strategic investments and tax benefits related to federal R&D credits, reduced by certain nondeductible compensation, tax on non-U.S. earnings, and other nondeductible expenses related to political contributions.

The Company's effective tax rate of 14.35% for the year ended December 31, 2022 reflects a tax benefit on pretax loss reduced by certain nondeductible compensation and a valuation allowance recorded on impairment charges related to crypto assets held and strategic investments.

The Company's effective tax rate can be volatile based on the amount of pretax income or loss in the reporting period. For example, when pretax income is lower, the effect of reconciling items to the U.S. statutory rate, such as nondeductible expenses, will have a greater impact on the effective tax rate.

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Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities consisted of the following (in thousands):

	December 31,	
	2024	2023
Deferred tax assets		
Obligation to return crypto assets held as collateral	\$ 163,452	\$ 61,077
Accruals and reserves	27,262	13,847
Net operating loss carryforward	53,107	55,563
Lease liability	22,645	4,494
Tax credit carryforward	240,977	351,003
Stock-based compensation	30,663	21,284
Intangibles	48,641	49,255
Capitalized expenses	951,665	759,789
Capital losses - realized/unrealized	—	207,563
Gross deferred tax assets	1,538,412	1,523,875
Less: valuation allowance	(124,202)	(102,250)
Total deferred tax assets	1,414,210	1,421,625
Deferred tax liabilities		
Crypto assets held as collateral	(163,452)	(61,077)
State taxes	(40,141)	(13,169)
Depreciation and amortization	(33,370)	(32,246)
Prepaid expenses	(14,457)	(10,870)
Lease ROU assets	(20,369)	(3,894)
Installment gain	(8,863)	(10,918)
Capital gains - unrealized	(184,473)	—
Other	(7,787)	(17,218)
Total deferred tax liabilities	(472,912)	(149,392)
Total net deferred tax assets	\$ 941,298	\$ 1,272,233

At each reporting date, management considers new evidence, both positive and negative, that could affect its view of the future realization of deferred tax assets. On the basis of this evaluation, only the portion of the deferred tax asset that is more likely than not to be realized was recognized. However, if the Company is not able to generate sufficient taxable income from its operations in the future, then a valuation allowance to reduce the Company's U.S. deferred tax assets may be required, which would increase the Company's expenses in the period the allowance is recognized.

Activity related to the Company's valuation allowance consisted of the following (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Balance, beginning of period	\$ 102,250	\$ 252,258	\$ 54,383
Charged (credited) to expenses	21,952	(150,008)	197,875
Balance, end of period	\$ 124,202	\$ 102,250	\$ 252,258

The Company's valuation allowance as of December 31, 2024 was higher compared to 2023 due primarily to an increase in the valuation allowance related to newly generated California R&D credits.

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As of December 31, 2024, the Company also had R&D credits of \$116.8 million and \$124.2 million for federal and state income tax purposes, respectively. If not utilized, the federal R&D credits will expire in various amounts beginning in 2042. However, the state of California R&D credits can be carried forward indefinitely. The Company also had U.S. federal net operating loss carryforwards of \$45.8 million as of December 31, 2024, and an estimated \$105.0 million as of December 31, 2023. The U.S. federal net operating losses carry forward indefinitely. Additionally, the Company had U.S. state net operating losses of approximately \$549.8 million as of December 31, 2024. Generally, California and other significant U.S. states have a twenty-year carryforward for net operating losses.

Activity related to the Company's unrecognized tax benefits consisted of the following (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Balance, beginning of period	\$ 171,693	\$ 124,106	\$ 111,019
Settlements	(67)	—	(6,128)
Increase related to tax positions taken during a prior year	2,433	30,685	13,940
Decrease related to tax positions taken during a prior year	(18,378)	—	(9,187)
Increase related to tax positions taken during the current year ..	35,263	16,902	14,462
Balance, end of period	<u>\$ 190,944</u>	<u>\$ 171,693</u>	<u>\$ 124,106</u>

As of December 31, 2024 and 2023, the Company had unrecognized tax benefits of \$136.8 million and \$126.8 million, respectively, which would reduce income tax expense and affect the effective tax rate, if recognized. The Company accounts for interest and penalties related to exposures as a component of income tax expense. The Company recorded \$2.5 million and \$3.5 million of accrued interest and penalties, respectively, as of December 31, 2024 and \$1.6 million and \$0.5 million of accrued interest and penalties, respectively, as of December 31, 2023.

The Company files income tax returns in the U.S. (federal and state) and foreign jurisdictions. The Company is currently under audit by the IRS with respect to its federal income tax returns for 2020 and 2021, and California with respect to its state income tax returns for 2018 and 2019. The Company is also under audit in foreign jurisdictions for certain years including the United Kingdom, India, Kenya, and Philippines.

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18. NET INCOME (LOSS) PER SHARE

The computation of Net income (loss) per share, including the weighted average shares outstanding used in the computation ("WASO"), is as follows (in thousands, except per share amounts):

	Year Ended December 31,		
	2024	2023	2022
Numerators			
Net income (loss)	\$ 2,579,066	\$ 94,871	\$ (2,624,949)
Less: Net income allocated to participating shares	(1,311)	(119)	—
Net income (loss) attributable to common stockholders, basic	<u>\$ 2,577,755</u>	<u>\$ 94,752</u>	<u>\$ (2,624,949)</u>
Net income (loss)	\$ 2,579,066	\$ 94,871	\$ (2,624,949)
Add: Interest on the Convertible Notes, net of tax	13,375	—	—
Less: Net income allocated to participating shares	(1,193)	(120)	—
Less: Fair value gain on contingent consideration arrangement, net of tax	—	—	(6,230)
Net income (loss) attributable to common stockholders, diluted	<u>\$ 2,591,248</u>	<u>\$ 94,751</u>	<u>\$ (2,631,179)</u>
Denominators			
WASO - basic	247,374	235,796	222,314
Weighted-average effect of potentially dilutive shares:			
Stock options	16,958	16,845	—
Convertible Notes	6,462	—	—
RSUs	1,933	1,447	—
PRSUs	369	158	—
Restricted common stock	281	145	—
Contingent consideration	—	—	24
WASO - diluted	<u>273,377</u>	<u>254,391</u>	<u>222,338</u>
Net income (loss) per share attributable to common stockholders:			
Basic	\$ 10.42	\$ 0.40	\$ (11.81)
Diluted	\$ 9.48	\$ 0.37	\$ (11.83)

The rights, including the liquidation and dividend rights, of the holders of Class A and Class B common stock are identical, except with respect to voting. As a result, the undistributed earnings are allocated on a proportionate basis and the resulting income (loss) per share will, therefore, be the same for both Class A and Class B common stock on an individual or combined basis.

The following potentially dilutive shares were not included in the calculation of diluted shares outstanding as the effect would have been anti-dilutive (in thousands):

	Year Ended December 31,		
	2024	2023	2022
Stock-based compensation awards ⁽¹⁾	6,582	9,175	40,671
Convertible Notes	—	3,437	3,880
Total	<u>6,582</u>	<u>12,612</u>	<u>44,551</u>

(1) Includes shares under the ESPP.